

the customer can access the contract documentation online.”

3. The findings of the Authority.

Following the inspections and the documentation provided by Axpo Italia S.p.A., the Authority has identified several critical issues regarding the processing of personal data. The main concerns relate to the accuracy and updating of the personal data used for the contracts, as well as the lack of proper consent from the customers involved.

4. The conclusions of the Authority.

In light of the findings and the complaints received, the Authority has determined that Axpo Italia S.p.A. has violated the provisions of the Regulation (EU) 2016/679 and the Code regarding the processing of personal data. The company is required to take immediate corrective actions to ensure compliance with data protection laws and to prevent similar occurrences in the future.

5. The measures imposed.

The Authority hereby imposes the following measures on Axpo Italia S.p.A.:

- a. Immediate cessation of the processing of inaccurate and outdated personal data.
- b. Implementation of a robust system for verifying the accuracy of personal data before processing.
- c. Provision of clear and transparent information to customers regarding their rights and the processing of their data.
- d. Regular audits to ensure compliance with data protection regulations.

6. Final provisions.

This decision is effective immediately and Axpo Italia S.p.A. is required to report back to the Authority within 30 days regarding the actions taken to comply with these measures.

The meeting was adjourned at [time].

[Signature]

Pasquale Stanzione

President of the Authority for the Protection of Personal Data

viewed all the documentation received. (..) To sign the contract, the customer receives an SMS on the mobile number provided, containing an OTP code that must be entered online to complete the activation of the contract” (see minutes of July 6, 2022, Annex 12 – “Audit Report”, p. 9). The personal data of customers and the contractual documentation are then uploaded into the company’s CRM for the purpose of carrying out, by Axpo Italia S.p.A., the “necessary ex-post checks: primarily tax checks or those related to the association between POD and tax code carried out through the SII (so-called pre-check). If these checks are successful, further checks (so-called validation) on the contractual documentation, the consistency of signatures, and the correspondence between the data uploaded in the CRM and the data reported in the contract are conducted by an external company. (..) If the validation is successful, the contractual offer is ‘frozen’ until 14 days have passed from its entry into the CRM, for the purpose of exercising the right of reconsideration by the customer. After this period, a welcome letter is sent to the email address provided at the time of subscription or, in the case of a paper contract and in the absence of a digital address, to the postal address indicated in the contract itself” (see minutes of July 6, 2022, p. 3; see also response note of November 3, 2021, p. 3). The aforementioned communication “informs the customer: of the activation of the contract, that updates and any contractual communications will occur via a specific email address, the start date of supply, a summary of the data related to the supply, further information” (see response note of November 3, 2021, p. 3). “Following the sending of the [welcome letter], the activation process of the supply is initiated”; this is despite the fact that the Company “does not verify the actual receipt [of the aforementioned communication]” by the customer (see minutes of July 6, 2022, p. 3). Starting from February 2022, “a check-call system has been implemented for all channels of contract subscription other than paper and so-called full digital.” This system consists of Axpo making “6 attempts to call the phone number indicated in the contract. In case of no response or refusal to register the contract by the customer during the check-call, it is canceled. If, on the other hand, the customer confirms interest in the contract, after the reconsideration period, the contract is activated” (see minutes of July 6, 2022,

pp. 3-4). Regarding the usual actions initiated following the receipt of complaints from customers regarding unsolicited activation, “the company, after verifying the adequacy of the complaint, if possible proceeds to cancel the switching and, if the switching is no longer revocable, initiates, at the customer’s request, the restoration procedure or performs the switch-out and, in any case, writes off the invoices. Towards the agency, the company implements all the actions contractually provided for, up to the termination of the contract” (see minutes of July 6, 2022, p. 5). Concerning the specific instructions provided to agents responsible for the customer contracting phase, the Mandate Contract requires agencies to verify, following the receipt of a complaint for unsolicited activation, the regularity of “all contracts procured by their employee/sub-agency involved in the complaint” in order to identify “any further contracts that present anomalies” (see note of November 3, 2021, p. 3). However, the actual performance of this control activity has not been subject to specific verification by Axpo Italia S.p.A., which “does not specifically require agencies to confirm the performance of the verification regarding the actions of the subagents involved in the reported cases [nor to transmit] the related outcome” (see minutes of July 7, 2022, p. 5). Similarly, no further checks have been carried out by the Company, aside from those conducted regarding the contracts subject to complaint, on other contracts procured by the same agencies, in order to assess any anomalies in the related contracting; however, “the progressive reversal of the agency’s ‘token’ compensation is provided for if the contract is terminated within a certain period of time from the activation of the supply” (see minutes of July 7, 2022, pp. 2, 3, 4, and 6 and Annexes 14-15). As for the preventive control activities of the actions of the agencies responsible for customer contracting, the following has been reported. Some general checks are carried out by the Operations Department, which “periodically sends a report to the Sales department containing indications of anomalies related to unsolicited activations that are the subject of complaints. Based on this information, the Sales department contacts the relevant agencies to verify the legitimacy of their actions. The agencies then provide specific feedback on the suspicious activations reported by the company.” In this regard, it has been specifically reported that “the company does not carry out systematic checks of the email addresses indicated in the contracts (for example, to intercept recurring addresses) or of the mobile numbers provided for sending the OTP” or used during the check-call (see minutes of July 6, 2022, p. 3). In any case, following the complaints submitted to the Authority by the affected customers, the Company has initiated a series of actions aimed at further strengthening the above preventive measures; in particular:

in July 2021, “conducted an awareness and training action on privacy aimed at all agencies contracted at that time (about 280), through the sending of a self-assessment check-list” of the same (see minutes of July 7, 2022, p. 5);

in June 2022, “the DPO, at the company's direction, initiated (...) a privacy audit concerning 14 agencies,” including some of those responsible for the acquisition of the contracts contested by the claimants, “specifically aimed at checking the legality of the processing of personal data related to the conclusion of energy supply contracts”; the selection of the agencies to be subjected to audit activities “was carried out taking into account [not only] the customer segment (domestic customers) (...) [but also] the presence of significant criticalities in the acquisition of contracts, regardless of the type of contact channel” (see minutes of July 6, 2022, p. 5 and minutes of July 7, 2022, p. 5; see also Annex 12 – “Audit Report,” attached to the aforementioned minutes).

More generally, with reference to the phenomenon of unsolicited contracts, the implementation of the following actions has also been initiated:

“interruption of the telephone channel for conducting telemarketing activities by the agencies” (see note of January 11, 2023, p. 6);

implementation “of a calendar for periodic training sessions for agents (...) to carry out contract procurement activities in compliance with the Consumer Code. (...) Participation in the training sessions will become a mandatory requirement for access (and permanence) in the Axpo agents' network” (see note of January 11, 2023, p. 6);

provision for a “tightening of the sanctioning system, compared to the current system for the detection of unlawful behavior by agents.” In particular, Axpo Italia S.p.A. plans to increase by about three times

the penalty currently agreed for unsolicited activations related to domestic customers (see note of January 11, 2023, p. 6).

Finally, during the inspection investigations, including access to the Company's systems, it emerged that all contracts related to the claimants have been terminated following a complaint for unsolicited activation (see minutes of July 6, 2022, pp. 4-5 and July 7, 2022, pp. 2-4; response note of January 11, 2023, pp. 1-6).

It was also highlighted that the personal data of customers subject to unsolicited activation "remains within the CRM, not segregated from the data of other customers" (see minutes of July 7, 2022, p. 6). Regarding the possibility that, therefore, such data may have been subject to marketing campaigns or profiling activities, the Company represented that the aforementioned operations "are not launched (...) concerning customers whose contract is terminated within the CRM" (see minutes of July 7, 2022, p. 6).

3. Notification of violations and defensive memoranda.

With communication dated March 24, 2023, the Office, based on the documentation on file and the elements acquired during the investigation, proceeded to notify Axpo Italia S.p.A. of the initiation of the procedure for the adoption of the measures referred to in Articles 58, paragraph 2, and 83 of the Regulation in relation to the violation of Article 5, paragraph 1, letters a) and d) and paragraph 2 and Article 24 of the Regulation; this in accordance with the provisions of Article 166, paragraph 5, of the Code.

In this regard, the Company, with a note dated April 21, 2023, submitted its defensive writings, in which it represented the following:

a) regarding the principle of accountability, it must be interpreted as "an obligation of means at the discretion of the data controller" and not as a "result obligation." It is therefore not possible to "consider the data controller in breach solely because certain [...] unauthorized processing of personal data has occurred." Moreover, Articles 24 and 32 of the Regulation require "the data controller to take into account in determining the appropriate measures (not "perfect"), [...] also the state of the art and the costs of implementation" that may burden it. The aforementioned measures must therefore "be chosen, at the total discretion of the data controller, based on subjective elements and the riskiness of the processing." It follows that, in light of these considerations, the "claim of accountability" required of Axpo Italia S.p.A. must be proportionate to the number of customers actually managed by it and the profits obtained by it, and cannot be based on the prescriptions provided to other different (in terms of size and turnover) companies operating in the same sector (see note of April 21, 2023, pp. 3-7);

b) regarding the technical or organizational measures adopted pursuant to Articles 5, paragraph 2, and 24 of the Regulation, the data controller has correctly identified "the privacy risk" of the processing related to the contracting activities of customers through door-to-door channels and has adequately managed it: Axpo Italia S.p.A. "already before the inspection, had correctly assessed the risks, including that of engaging third parties (professionals) and receiving inaccurate data, and has put in place 'acceptable' technical and organizational measures aimed both at preventing the contested events and at verifying the quality of the data" (see note of April 21, 2023, pp. 8-9);

c) with specific reference to the events in dispute, the responsibility for the conduct is "attributable [exclusively] to the individual agencies and their respective sub-agents in their capacity as independent holders/co-holders or, alternatively, as negligent data processors with respect to the instructions provided by Axpo" (see note of April 21, 2023, pages 21-23);

d) regarding the queries used by Axpo for its marketing campaigns (see violation notice of March 24, 2023, page 9), "the documents sent with the extractions concern only 'active' customers or, at most, 'in activation'. Consequently, customers who have submitted complaints and customers whose contracts have ended are already excluded from this documentation." Furthermore, "the extraction of customers in 'switch out' is done precisely to exclude such subjects from the marketing campaigns." Therefore, "the Authority erroneously believed that Axpo did not verify the activation status of the contract, thus assuming that the 'wrong' subjects could be reached by a marketing activity, whereas it is exactly the opposite" (see note of April 21, 2023, pages 23-24);

e) with reference to the "data related to Annex 11, (...) the email address `pippo@pluto.it` was entered by the company in 2019 during the migration to the new CRM to use a standard wording for

non-compliant data” (see note of April 21, 2023, page 25);

f) in relation to the number of data subjects for whom no measures for the segregation of personal data were provided (see violation notice of March 24, 2023, page 8), the number of 8888 derived from the Authority “is incorrect. In fact, the number of data subjects from whom Axpo received complaints for unsolicited activation is 5,158.” Furthermore, “Axpo, for reasons of expediency and to avoid complex debt recovery procedures, accepted such complaints, regardless of whether or not there was an unsolicited activation, and therefore many of these complaints may not be well-founded (...). Therefore, it would not be correct at all to charge Axpo with 5,158 complaints for unsolicited activation, because this number would not coincide with the actual number of unsolicited activations, which are, therefore, much fewer” (see note of April 21, 2023, pages 25-26);

g) regarding the duration of the violation, it must be calculated in relation to the reference period in which the complaints received by the Authority were subject to contractualization, identifiable in the “period (October 2021 – June 2022), less than one year” (see note of April 21, 2023, page 27).

The Company, in the context of the aforementioned defensive memoranda, also indicated among the elements in its favor for the possible determination of the administrative sanction, the circumstance that “the complainants, as well as the other data subjects subject to unsolicited activations, have in fact benefited from the violation, receiving free supply of electricity and gas for a variable period (...) without owing anything to Axpo, with a significant saving considering that, in the period considered, the prices for the supply of gas and electricity have skyrocketed” (so-called write-off of amounts already invoiced and to be invoiced pursuant to Article 66 quinquies of the Consumer Code) (see note of April 21, 2023, pages 26 and 28).

It also highlighted that it promptly took action, following the inspection findings of the Authority and/or the notice of violation sent by it, by adopting the following measures (for all that is indicated below, see note of April 21, 2023, pages 16-17):

1) implementation within the CRM of “an automatic script to change the consents to no” for customers for whom a complaint for unsolicited activation had been accepted (see also note of April 21, 2023, page 25);

2) modification “of marketing consents (from ‘yes’ to ‘no’) for verified unsolicited activations” and replacement “of the email addresses provided with fictitious addresses” in order to ensure the segregation of personal data of customers for whom a complaint for unsolicited activation had been accepted (see also note of April 21, 2023, page 26);

3) refinement of the checklist for the selection of agencies – so-called KYA (Know Your Agent) – by inserting a “relevant privacy part that allows Axpo to eliminate, right away, those agencies that do not comply with the Regulation” (see also note of April 21, 2023, page 9);

4) initiation of legal actions against the agencies for the non-compliance committed by the sub-agents, as well as termination of contractual relationships with them and with any disloyal sub-agents (see also note of April 21, 2023, Annex 2);

5) implementation of a service that ensures the receipt of the welcome letter by using a provider that makes available, on a specific portal of Axpo Italia S.p.A., the outcome of the delivery of the document by the postal service provider. Furthermore, “the transmission of the welcome letter to the supply address is being evaluated, should this latter data not coincide with the residence address of the interested subject” (see also note of April 21, 2023, page 17).

4.1 The outcome of the investigation: the violation of the principles of fairness, accuracy, and accountability.

First of all, it is stated that, unless the act constitutes a more serious crime, anyone who, in a proceeding before the Authority, falsely declares or certifies news or circumstances or produces false acts or documents is liable under Article 168.

del Codice “Falsehood in declarations to the Authority and interruption of the execution of the tasks or the exercise of the powers of the Authority”.

Having duly stated the above, following the examination of the elements acquired during the aforementioned checks, as well as the subsequent evaluations carried out by the Authority, it has been established that the processing of personal data of potential clients subject to this decision has been

carried out by Axpo Italia S.P.A., as the data controller, through certain agencies, designated, pursuant to Article 28 of the Regulation, as responsible for the same processing operations, during the period in which they acted to procure potential clients on behalf of the aforementioned Company.

Such conduct, due to the organizational and managerial measures of the processes for acquiring new clients in place at Axpo Italia S.P.A., has resulted – as more specifically detailed below – in an activity of processing personal data of the complainants and other potential clients that is not compliant with the Regulation as it is contrary to the principles of fairness and accuracy of data (Article 5, paragraph 1, letters a) and d) of the Regulation); this particularly refers to the specific activities carried out by certain agents and sellers at the time of acquiring contractual proposals through the processing of inaccurate and outdated data related to the clientele.

The investigative activity has also highlighted that, although the processing subject to complaint was carried out by data processors (agents) who operated in violation of the instructions given by the data controller (see minutes of July 6 and 7, 2022; see also note of November 3, 2021, pages 2 and 4), it has equally emerged that the technical and organizational measures adopted by Axpo Italia S.P.A., within the contractualization system through the door-to-door agency channel, were not adequate to the nature, context, purposes, and risks of the aforementioned processing, also constituting a violation of the principle of “accountability” (Article 5, paragraph 2 and Article 24 of the Regulation).

On this point, contrary to what the Company claims (see above, paragraph 3, letters a) and c) of this decision), it is indeed appropriate to note that, pursuant to the aforementioned principle of accountability, the data controller is the subject to whom the “overall responsibility” of the processing is attributed, whether it has been carried out directly by him or by others on his behalf, thus burdening him with the obligation to implement an organizational and managerial system characterized by effective and efficient data protection measures, as well as verifiable (see recital 74 and Articles 5, paragraph 2 and 24 of the Regulation).

All this, not only through the correct and timely preparation of the obligations imposed by data protection legislation (information, record of processing activities, appointment of the data protection officer where mandatory, impact assessment where necessary, etc.), but especially through the implementation of procedures and organizational practices aimed at aligning the relevant processing with the same Regulation (e.g., mapping processes of processing; rules for the attribution of responsibilities; staff training programs; procedures for verifying the actions of designated processors pursuant to Article 28; provision for internal and external audits on a periodic basis; etc.; see Article 29 Working Party, WP 173 of July 13, 2010 - Opinion 3/2010 on the principle of accountability, pages 11-12).

This principle, therefore, imposes on the data controller the obligation to configure the processing ab initio by providing all necessary guarantees (and not merely “acceptable” as stated by the Company; see above, paragraph 3, letter b) of this decision) “in order to meet the requirements” of the Regulation and effectively protect the rights of the data subjects.

All this taking into account the specific context in which the processing takes place (i.e., “the nature, scope, and purposes” of the same; see Article 24 of the Regulation), foremost among all the actual risks to the rights and freedoms of the data subjects.

In the specific sector of energy and gas, the Authority has already expressed itself, since December 2019, indicating the organizational and managerial methods that a data controller, operating as an energy supplier in the free market, is required to implement when acquiring new clients, to ensure, and be able to demonstrate, that the processing is carried out in accordance with the Regulation (see decision of December 11, 2019 – web document no. 9244358).

This decision, although directed at a specific operator, contains general indications regarding the technical-organizational measures necessary to ensure the accuracy of personal data of potential clients in this particular sector, especially when these are collected and processed by processors appointed pursuant to Article 28 of the Regulation.

These are, in fact, some initial prescriptions, proportionate to the significant increase in recent years of the phenomenon of unsolicited activations in the free energy market, mostly aimed at strengthening the supervisory activities of the supplying Companies over the actions of external agencies tasked with client contractualization; thus simultaneously increasing the control methods, on the part of the data controller, of the accuracy of the personal data collected and processed by them. The aforementioned measures, therefore, contrary to what the Company claims (see above, paragraph 3, letter a) of this decision), precisely because they are directly proportionate to the risks inherent in the aforementioned **Processing activities aimed at acquiring new customers cannot be "reduced" by virtue of the size of the data controller or their economic capacity.**

In this regard, it is indeed appropriate to recall that, where the Regulation expressly refers to the burden of the data controller to take into account the "implementation costs" of the measures to be adopted - a circumstance that is not mentioned in relation to the principle of accountability (art. 5, par. 2 and art. 24) but exclusively with reference to aspects related to privacy by design and technical security measures of processing (arts. 25 and 32) - this indication cannot be separated from the adoption of "appropriate organizational measures and necessary guarantees that effectively implement the principles in order to protect the rights of the data subjects" (see European Data Protection Board, Guidelines 4/2019, of October 20, 2020, par. n. 21).

"The cost factor implies that the data controller does not employ a disproportionate amount of resources when there are alternative, less costly but effective measures (...). The identified measures must therefore ensure that the processing activity carried out by the data controller does not involve processing of personal data in violation of the principles, regardless of the cost of such measures" (see in this regard, European Data Protection Board, Guidelines 4/2019, cited, paragraphs nn. 24 and 25).

From the findings that emerged during the on-site inspections, several deficiencies in the privacy policies implemented by Axpo Italia S.P.A. have been highlighted; policies that appeared to be lacking and ineffective, especially in terms of ensuring the accuracy of the processed data, the security of the processing, as well as the control of the actions of the authorized personnel.

The inadequacy and the gaps in such procedural methods have allowed certain individuals (specifically agents and sellers) to operate in violation of the instructions given by the data controller, with repercussions on the lawfulness of the related processing, particularly in terms of their correctness and the quality of the personal data processed. This is clearly evidenced by certain implementation methods employed by Axpo Italia S.P.A. regarding the verification procedures of the actions of the designated agencies responsible for processing, as detailed in the following terms.

****4.2 The inadequacy of the technical and organizational measures adopted by the Company in the context of customer contracting activities.****

Firstly, it emerged that the customer contracting process, carried out by door-to-door agencies, implemented by Axpo Italia S.P.A., includes a phase of "verification" of the contractual intention (and consequently of the quality of the data processed and entered by the agents in the company application) based on the sending of a welcome letter to the email or physical address obtained during the contract signing phase, a communication that never reached, in the cases subject to complaint, the actual address of the customer.

The system as conceived suffers from the significant limitation of being based solely on contact details provided by the selling agent and does not provide sufficient certainty of the correspondence of these with the actual user of the service, posing the risk for Axpo Italia S.p.A. - as evidenced in the cases examined - of acquiring unsolicited contracts containing inaccurate and outdated personal data.

It is also noted, in this regard, that the transmission of the aforementioned welcome letter is not carried out through methods that allow the data controller to have evidence of the actual receipt of such documentation by the customer (such as, for example, the use of confirmation messages of receipt and reading of the content of the communication), with the possibility that it, if sent to an address not actually belonging to the potential customer, may never be viewed by them – a circumstance also

highlighted in the specific cases (see minutes of July 6, 2022, pp. 3 and 5).

In this regard, it is finally observed that the activation of unsolicited supplies could have been prevented much more effectively if the data controller had, for example, provided for the use, for sending the welcome letter, of the physical address corresponding to the POD/PDR of the customer - an address known to the Company - rather than that obtained from the agent at the time of the contract signing; also utilizing a delivery tracking service. This simple precaution would have allowed for greater certainty of the actual delivery of the documentation in question to the interested party, thus making it possible to promptly intercept any anomalous behaviors by the agencies, at a stage prior to the activation of the related contracts.

The measures adopted by Axpo Italia S.p.A. for the purpose of verifying the accuracy of the data processed by the agent, as described above, therefore appear, in consideration of the risks associated with the processing carried out as well as the nature and context of the same, inadequate to conform the processing to what is provided for by the Regulation and thus in violation of the principle of accountability. All this, considering nonetheless that the phenomenon of unsolicited activations, especially through the methods concretely used in the cases examined, had already been fully known for years in the relevant sector, as evidenced by not...

only from the decision of the Guarantor of February 11, 2019 mentioned above, but also from the various and numerous measures adopted by other Authorities within their respective areas of competence, in relation to unlawful conduct aimed at concluding contracts without the knowledge of potential customers (see, among many, AGCM, decisions of December 21, 2016, refs. PS6259, PS10114, and PS10338; AGCM, decision of December 13, 2022, no. 30422).

The inspection findings of July 6 and 7, 2022, also revealed that Axpo Italia S.p.A. did not have, for the purpose of verifying the accuracy of the personal data contained in the contracts procured by the agencies, alert systems capable of detecting the most glaring procedural anomalies (such as, for example, the entry into the CRM of recurring phone numbers and email addresses; the inaccuracy or incompleteness of the acquired contractual data; the anomalous number of contracts signed by each agent/seller; etc.).

In this regard, from the accesses made during the inspection activity, it actually emerged that several contractual proposals contained, within them, the same email address as the contact for the transmission of the contractual package or the welcome letter; an address, as determined ex post, that did not belong to the actual customers involved (see minutes of July 6, 2022, p. 5).

Regarding this, from the analysis of the contractual proposals "uploaded" into the Company's systems by the door-to-door agents, as provided by the owner (see Annex 11 of the inspection minutes, cited), the presence of 2462 contracts was highlighted in which the same email address (of the potential customer) was repeated more than 5 times (this numerical data, contrary to what was claimed by the Company - see above, par. 3, lett. e) of this decision - was derived net of contracts containing "the fantasy address pippo@pluto.it").

The implementation of simple procedures capable of detecting the presence of the aforementioned anomalies during the contracting phase (first among them being the insertion of contractual proposals containing recurring email addresses) could have limited the conduct subject to contestation, allowing Axpo Italia S.p.A. to intervene promptly in the processing operations of customer data contained in the contractual documentation uploaded to the system, at a stage prior to or immediately following the activation of the related supply.

The absence of such a measure appears unjustifiable in light of the predictability of the conduct carried out by the agents, considering the high prevalence of the aforementioned irregular phenomena in the relevant sector and the degree of awareness required of the aforementioned owner, precisely because of the specific role played by them in the context of the sale and supply of energy in the free market; this particularly, as already explained above, in light of the indications long provided by the Guarantor in this matter, in cases analogous to the one at hand, in the aforementioned decision of December 11, 2019.

4.3 The absence of effective verification activities regarding the agencies' operations.

Regarding the supervisory obligations that fall on the owner pursuant to Article 28 of the Regulation concerning the operations of the designated agencies responsible for processing, the Company did not provide evidence regarding the performance of verifications and/or in-depth analyses (not even on a sample basis) on the accuracy of the acquired personal data; this with particular reference to the other contracts signed by the agents with respect to which irregularities had been highlighted, regardless of the submission of a complaint by the interested parties (for example, through a "customer caring" activity of the customers contracted by the same agents, aimed at verifying the actual legitimacy of the contracts activated therein and the treatments carried out).

The introduction of such a measure, on the other hand, would have made it possible to intercept in advance the treatments carried out through inaccurate personal data, promptly proceeding to update the same.

It should be noted in this regard that the same data controller was fully aware of the usefulness of such verifications already at the time of the contracting of the agencies, so much so that they included, in the aforementioned agency contracts, the obligation, on the part of the latter, to "verify all contracts procured by their employee/sub-agency involved in the complaint" in order to identify "any further contracts that present anomalies" (see response note of November 3, 2021, p. 3; see also Annex 16 - "Contracts and exchanges with complainants and agencies" in the inspection minutes, cited).

In light of this express provision, however, it emerged that compliance with the same was not subject to specific control by Axpo Italia S.p.A., which usually "does not specifically require the agencies to confirm the verification of the operations of the sub-agents involved in the reported cases [nor to transmit] the related outcome" (see minutes of July 7, 2022, p. 5), limiting itself to reporting exclusively the contractual positions subject to complaints by customers (see regarding the indications provided by Axpo Italia S.p.A. concerning the verifications carried out against agencies responsible for unsolicited activations contained in attachments no. 14, 15, and 18 to the inspection minutes, cited).

It should also be noted in this regard that the inclusion of such an obligation at the contractual level does not appear sufficient to exempt the owner.

****4.4 Absence of Measures to Ensure the Segregation of Personal Data Acquired Through Unrequested Activations****

Lastly, it is noted that the personal data of customers whose contracts were terminated following a complaint for unrequested activation were found in the CRM of Axpo Italia S.p.A., without the introduction of any measures aimed at ensuring the limitation of the related processing and intended to keep the same distinct from the information subject to activities related to the ordinary management of the clientele.

The Company, in fact, has not provided evidence regarding the implementation of a system suitable for ensuring, following a complaint for an unrequested contract (and pending its resolution), the timely limitation, awaiting subsequent checks, of any further and different processing activities of customer data in order to preemptively suspend any unlawful processing of the aforementioned data (e.g., for the above-mentioned marketing campaigns); this last measure having already been expressly indicated by the Authority in the aforementioned provision of December 11, 2019.

From the examination of the documentation acquired during the inspection checks, it emerged that, from January 1, 2021, to July 8, 2022, the number of data subjects for whom the aforementioned segregation measures for their personal data were not provided was approximately 5,100 (see Annex 19 to the inspection reports, cited; see also regarding what was stated by the Company in the note of April 21, 2023, see above, par. 3, lett. f) of this provision).

On this point, it was also noted that, concerning the aforementioned 5,100 customers, during the same time frame, 8,888 contracts were canceled following the acceptance of complaints for unrequested activation. This data makes it evident that, to the detriment of the aforementioned potential customers,

multiple unrequested activations were carried out with identical or closely spaced dates, sometimes referring to the same POD/PDR, resulting in further burdens for the unfortunate customers forced to repeatedly bear the costs associated with initiating the administrative and judicial procedures provided for in such cases to protect the consumer.

It is worth noting the extreme case, present in the aforementioned documentation, of a data subject (CF: XX) who was a victim of as many as 23 unrequested activations, on as many POD/PDR, having the same start and termination date of the related supply.

On this point, it does not seem credible what was claimed by the data controller, to reduce the quantification of the number of customers involved in the violation in question (see above, par. 3, lett. f) of this provision), regarding the Company's practice of indiscriminately accepting all customer complaints for unrequested activation, regardless of the verification of their validity. This observation, moreover, has not been demonstrated in any way by any documentary evidence.

On the other hand, it is also necessary to note that the number of customers mentioned above refers exclusively to those who submitted a specific complaint to the Company and that, therefore, it is only indicative of the dimension, presumably much greater, of the incidence of the phenomenon of unrequested activations within Axpo Italia S.p.A.

Having clarified this, with reference to the duration of the violation, it is represented that it cannot be limited—as claimed by the Company (see above, par. 3, lett. g) of this provision)—exclusively to the period during which the contracts related to customers who submitted a specific complaint to the Authority were acquired, but must be calculated taking into account the time frame of the activations carried out in relation to the aforementioned 5,100 affected customers.

The aforementioned time frame must therefore be identified from January 1, 2021, to July 8, 2022, a period corresponding to the extractions of the data provided by...

****Holder in the context of inspection assessments (see Annex 19 of the inspection reports, cited; cf. see note of April 21, 2023, pp. 23-24).****

With reference to the personal data of customers who have ceased following a complaint for unsolicited activation, as a result of on-site access to the data concerning the complainants, it was also established that, with respect to the same, the CRM indicates, in most cases, the presence of expressed consent for marketing and/or profiling purposes (see reports of July 6, 2022, pp. 4-5 and July 7, 2022, pp. 2-4; feedback note of January 11, 2023, pp. 1-6); this is despite the fact that, precisely due to the nature of the complaint made by the aforementioned interested parties and the reasons for its acceptance, it is evident that, in such cases, the relevant consents were not validly obtained.

Although Axpo Italia S.p.A. has declared that “to date (...) no marketing campaigns have been launched concerning customers whose contract is recorded as terminated within the CRM” (see report of July 7, pp. 6-7), the absence of measures aimed at ensuring a limitation on the processing of such data means that they may have been unlawfully used, or may be in the future, for the aforementioned purposes.

In this regard, it is particularly noted that, from the analysis of the queries used by Axpo Italia S.p.A. in marketing campaigns carried out since November 2021, it has emerged that some extractions also involved the data of customers in the activation process based on the consent given at the time of contracting (see, for example, the campaigns named “DEM-Pulsee-EVwaySeptember2021”, “DEM-Pulsee-FeesSeptember2021”, “DEM-Pulsee-Gift the Energy of PulseeSeptember2021” and “DEM-Pulsee-Second Homes September2021” in which “active” and “in activation” customers are included); this is because, among the inclusion criteria of the search, the verification of the “status” equal to “active” was not always included (see Annex 4 of the inspection reports, cited).

From these elements, it is therefore not possible to exclude that the aforementioned campaigns also involved customers for whom a complaint for unsolicited activation was being defined.

In this regard, the observations made by the Company (see in this regard, supra, par. 3, lett. d) of this provision) regarding the circumstance that in the definition of “customers in activation” are included “those for whom all preliminary checks (credit check, pre-check, etc.) are ‘validated’, in such a way as to exclude those for whom the activation may have been blocked for various reasons (including unsolicited activations)” cannot be accepted.

It has indeed been widely established (see supra, par. 4.1. and 4.2 of this provision) how the inadequacy of the preventive checks implemented by Axpo Italia S.p.A. during the contracting phase has resulted in several contractual proposals, despite the overcoming of the alleged validation processes implemented by the Company, containing in fact inaccurate and outdated data of the respective signatories.

Lastly, with specific reference to the methods adopted by the Company during the proceedings to implement the aforementioned measure of data segregation for customers (see supra, par. 3, nn. 1-2 of this decision), it is observed that the aforementioned replacement of the email address present in the system with a fictitious one, along with the implementation of an automatic script to change the consents for this type of interested parties to “no”, does not appear, alone, to be adequate measures to align the processing activities in question with the Regulation.

More specifically, the first— which would in itself result in the processing of inaccurate data (the fictitious email address) of the interested parties— is not sufficient to ensure an effective segregation of the same information; indeed, they would continue to be accessible to personnel (employees or authorized by Axpo Italia S.p.A.) tasked with carrying out duties related to the processing of customer data, even though they refer to interested parties who do not hold the status of “customers” (as they were acquired through unlawful activity).

On the other hand, the measure concerning the default modification of the consent present in the system appears adequate only if accompanied by an effective segregation of the data, identifying a limited number of operators authorized to access it, keeping the data itself (protected by appropriate technical measures such as, for example, encryption) in a specific partition of the CRM with restricted and limited access.

****5. Conclusions: declaration of unlawfulness of processing. Corrective measures pursuant to art. 58, par. 2, Regulation.****

In light of what has been overall observed, the Authority believes that the statements, documentation, and reconstructions provided by the data controller during the investigation do not allow for overcoming the observations notified by the Office with the initiation of the proceedings and are therefore unsuitable to order the archiving of the present proceedings, as none of the cases provided for by art. 11 of the Garante Regulation no. 1/2019 apply.

The processing of personal data carried out by the Company is indeed unlawful, in the terms outlined above, with respect to the violation of the principles of fairness and accuracy of data, as well as accountability (art. 5, par. 1, letters a) and d) and par. 2, and art. 24 of the Regulation).

The violation of the aforementioned provisions entails the application of the administrative sanction. provided for by Article 83, paragraph 5, letter a) of the Regulation.

Lastly, regarding the exercise of corrective powers under Article 58, paragraph 2, of the Regulation, it is noted that Axpo Italia S.p.A., during the proceedings, has taken some initial measures aimed at aligning, in accordance with the regulatory framework described above, the treatment of customer data with the Regulation as detailed in this decision (see above, paragraph 2 and paragraph 3, points 3 to 5 of this decision).

Taking into account the above and without prejudice to the aforementioned actions already initiated by the Company, it is deemed necessary, in light of the further critical issues identified concerning the data controller, to order the following corrective measures pursuant to Article 58, paragraph 2, letter d), of the Regulation:

a) adoption of a blocking check-call system for all methods of contract acquisition by the door-to-door agency channel, including paper-based methods. In this regard, noting that the full digital customer contracting system has not been thoroughly examined during these proceedings but may present the same critical issues as the door-to-door channel, the Company is invited to consider the potential opportunity to extend this provision to the aforementioned system;

b) definition of alert mechanisms suitable for detecting various procedural anomalies such as the entry into the CRM of recurring phone numbers and email addresses (for example, more than 5); discrepancies between the supply address and the customer's contact address; inaccuracies or incompleteness of the acquired contractual data; the loading into the system of multiple contract proposals (for example, more than 4) in the name of the same subject; excessive and unusual numbers of contracts signed by each agent/seller; etc., as well as any further indicators of anomalies that the Company, based on acquired experience, deems similarly impactful on the correct acquisition of personal data of potential customers. Regarding this measure, it does not appear necessary for it to generate a blocking anomaly by default concerning the activation of the related supply (see note of April 21, 2022, p. 20), as it is sufficient that such events lead, regardless of the actual continuation of the supply activation, to an alert indicating to the controller a possible irregularity to be examined through specific and targeted verification actions; this in order to have a preventive control system aimed at promptly intercepting any incorrect and/or fraudulent behaviors of its agents and sellers, even before a complaint is made by the customer;

c) implementation, within the phase of contract signing via OTP, of control systems for the accuracy of the customer's personal information (email address and phone number) acquired from the agent; this through verification of the domains of the aforementioned emails to highlight temporary, repeated, or similar email addresses from the same provider, as well as repeated mobile numbers or those from the same operator. Such controls should be carried out weekly and summarized at the end of each month. It also seems appropriate to prescribe the conduct of checks related to the signing times of the contractual proposals (with daily checks);

d) introduction of mechanisms to ascertain the actual receipt of communications sent to the customer during the contracting phase (e.g., confirmation messages of receipt and reading of emails sent to the customer). In this context, it is specifically requested that the welcome letter be sent to the physical supply address of the user, along with the use of a system to verify its actual receipt. In this regard, it is noted more generally that, concerning these prescriptions, it does not appear essential for any lack of confirmation of delivery of the aforementioned communications to have a "blocking" effect on the continuation of the contracting procedure (see note of April 21, 2022, p. 20). However, it is necessary, as already highlighted above (point b) of this paragraph), that it generates an alert followed by specific and greater controls by Axpo Italia S.p.A. on the methods of acquisition and processing of the personal data of the interested potential customers;

e) adoption of procedural rules whereby, in the face of the receipt of anomalous volumes of contractual proposals, disavowals, complaints for unsolicited activations related to contracts procured by an agency, Axpo Italia S.p.A. is required to carry out specific verification activities on the generality of the contracting operations carried out by the aforementioned agency (for example, through the examination of the proposals loaded by the same agents and/or the same agency involved in the complaint during the same reference period, as well as through the conduct of a caring activity towards other customers procured by the same agents with respect to whom irregularities had been highlighted). All this in order to have tools capable of contributing to ensuring the accuracy of the personal data acquired within the aforementioned contractual proposals, regardless of the presentation of a complaint by the interested parties. The threshold for anomaly aimed at... the initiation of the above-mentioned control activity could be identified taking into account, for example, the average number of proposals procured by individual agencies and the average of complaints/disputes of the same nature received semi-annually by the Company. The aforementioned activity could be carried out on a sample basis or in any case with methods that are minimally invasive for the customer (for example, by means of a notice placed on the bill; see regarding the observations

submitted by Axpo Italia S.p.A. in its note of April 21, 2023, pp. 13-14);

f) with reference to the processing of customer data for which, following the various preventive checks described above, it appears appropriate as a precautionary measure to suspend the contracting procedure, implementing a system that provides for the timely limitation, pending the outcome of subsequent checks, of any further processing activities of the same data; this by adopting appropriate measures to ensure the segregation of the aforementioned data from that processed in the context of ordinary customer management activities. The same activity must be carried out with respect to personal data relating to contracts/contractual proposals for which a complaint has been submitted for unsolicited activation. This measure, as already represented (see above, para. 4.4 of this decision), cannot be effectively implemented with the methods proposed by Axpo Italia S.p.A. (see above, para. 3, nos. 1-2 of this decision), requiring a structural intervention within the Company's systems such as, for example, the adoption of a data masking mechanism and logical and physical segregation of the same (the data, that is, are marked and temporarily transferred to another system and, during the limitation period, are kept in a state of inaccessibility).

Lastly, with reference to the personal data concerning the 5100 customers as identified in para. 4.4. of this decision, it is ordered pursuant to art. 58, para. 2, lett. f) of the Regulation, the definitive limitation of any further processing activities of the same other than that relating to the aforementioned segregation of the said information. This prescription is also necessary in relation to the personal data of customers contained in any further contractual proposals acquired through the door-to-door channel during the period from July 9, 2022, to the date of notification of this decision for which a complaint has been submitted for unsolicited activation and which is still in the process of resolution or has been accepted with consequent termination of the related contract.

6. Adoption of the injunction order for the application of the administrative pecuniary sanction and accessory sanctions (arts. 58, para. 2, lett. i), and 83 of the Regulation; art. 166, comma 7, of the Code). The Guarantor, pursuant to art. 58, para. 2, lett. i) of the Regulation and art. 166 of the Code, has the power to impose an administrative pecuniary sanction provided for by art. 83 of the Regulation, through the adoption of an injunction order (art. 18. L. November 24, 1981, no. 689), in relation to the processing of personal data carried out by Axpo Italia S.p.A., which has been found to be unlawful, in the terms outlined above.

It is deemed necessary to apply paragraph 3 of art. 83 of the Regulation where it provides that "if, in relation to the same processing or to related processing, a data controller [...] violates, with intent or negligence, various provisions of this regulation, the total amount of the administrative pecuniary sanction does not exceed the amount specified for the most serious violation," the total amount of the sanction is calculated so as not to exceed the maximum penalty provided for by the same art. 83, para. 5.

With reference to the elements listed in art. 83, para. 2 of the Regulation for the application of the administrative pecuniary sanction and its quantification, considering that the sanction must be "effective, proportionate, and dissuasive in each individual case" (art. 83, para. 1 of the Regulation), it is represented that, in the case at hand, the following circumstances have been taken into account: the significant severity of the violations (art. 83, para. 2, lett. a) of the Regulation), in relation to the nature – concerning the non-compliance with the principles of lawfulness of processing – the methods – the plurality of unlawful conduct repeated over time – and the duration – about one year and six months – of the same. The characteristics of the processing in terms of purpose and broad scope, as well as the high number of affected individuals and the type of damage suffered by them, are also considered relevant for this purpose. All this is noted that: the operations subject to contestation were carried out in order to conclude energy supply contracts in the free market, an economic activity that falls within the core business of the controller; the established unlawful conduct involved about 5100 affected individuals; the issues identified regarding data protection refer to the processes and policies implemented by the controller for carrying out customer contracting operations through the agency channel, highlighting systemic shortcomings and inadequacies of the aforementioned processes and therefore cannot be attributed to sporadic episodes of misalignment; the established violations have

caused, to the potential customers mentioned above, in addition to prejudices directly related to identity theft suffered by them, also the conclusion, unbeknownst to them, of
Contracts and Unrequested Activations in the Free Energy Market

with the consequent necessity for them to bear the related administrative burdens connected to the initiation of actions (judicial and/or administrative) provided for in such cases to protect the consumer; this prejudice is even more significant for the interested parties with respect to whom the unrequested activations have been multiple and closely spaced in time;

the significantly negligent behavior and the relevant degree of responsibility of the data controller regarding the technical and organizational measures implemented (art. 83, par. 2, lett. b) and lett. d) of the Regulation); this specifically refers to the inadequacy of the data protection policies implemented by Axpo Italia S.p.A. in the sector under scrutiny and detailed in paragraphs 4.1-4.4 of this decision, as well as in light of the indications already provided by the Authority regarding the organizational and managerial methods that a data controller, operating as an energy supplier in the free market, must implement upon acquiring new customers to comply with the Regulation (see decision of December 11, 2019, cited);

the adoption, by the data controller, of measures aimed at mitigating or eliminating the consequences of the violation (art. 83, par. 2, lett. c) of the Regulation). In this regard, the circumstance that Axpo Italia S.p.A. promptly adopted, once aware of the violation, some initial measures to mitigate the effects of the unlawful processing, measures that, although only partially sufficient to eliminate the risks, can be considered reasonable;

the circumstance that the Company actively cooperated with the Authority during the proceedings (art. 83, par. 2, lett. f) of the Regulation);

the fact that there are no previous violations committed by the data controller or previous measures pursuant to art. 58 of the Regulation (art. 83, par. 2, lett. e) of the Regulation);

other mitigating factors (art. 83, par. 2, lett. k) of the Regulation): the costs incurred by the Company for the application of art. 66-quinquies of the Consumer Code, in favor of customers who have filed complaints for unrequested activation with consequent "write-off of amounts already invoiced and to be invoiced" (see note of April 21, 2023, p. 27).

It is also considered that the economic conditions of the offender, determined based on the turnover of the Company, as per the financial statements for the year 2022 (latest available), are relevant in this specific case, due to the aforementioned principles of effectiveness, proportionality, and deterrence to which the Authority must adhere in determining the amount of the sanction (art. 83, par. 1, of the Regulation).

Finally, account is taken of the costs that the Company is required to incur to comply with the prescriptions set forth in point 5 of the aforementioned decision.

In light of the above elements and assessments, it is deemed appropriate, in this specific case, to impose an administrative sanction on Axpo Italia S.p.A. in the amount of €10,000,000.00 (ten million/00).

In this context, it is also considered that pursuant to art. 166, paragraph 7, of the Code and art. 16, paragraph 1, of the Garante Regulation no. 1/2019, the publication of this decision on the Garante's website should proceed. This is in consideration of the type of violations identified that have affected the general principles of processing, particularly the principles of fairness, accuracy, and accountability. It is also taken into account, for this purpose, the significant prejudice suffered by the interested parties following the conclusion (often repeated multiple times and closely spaced in time) of unrequested contracts in the free energy market, with the consequent necessity for them to bear all the administrative burdens connected to the initiation of judicial and/or administrative actions provided for in such cases for their protection.

It is finally deemed that the conditions of art. 17 of the Garante Regulation no. 1/2019 are met.

****ALL OF THE ABOVE CONSIDERED, THE Garante****

a) pursuant to arts. 57, par. 1, lett. f) and 83, of the Regulation, finds the unlawfulness of the processing carried out by Axpo Italia S.p.A., based in Rome, VAT no. 01141160992 in the terms stated in the motivation, for the violation of art. 5, par. 1, letters a) and d) and par. 2 and art. 24 of the Regulation;

b) pursuant to art. 58, par. 2, lett. d) of the Regulation, orders the aforementioned Company to comply, within nine months from the date of notification of this decision, with the prescriptions formulated in par. 5 of this decision, simultaneously requesting it to communicate what initiatives it intends to undertake in order to implement the provisions and to provide, within the aforementioned term, adequately documented feedback pursuant to art. 157 of the Code; any failure to respond may result in the application of the administrative monetary sanction provided for by art. 83, par. 5, lett. e) of the Regulation;

c) pursuant to art. 58, par. 2, lett. f) of the Regulation, orders, against Axpo Italia S.p.A., the definitive limitation of any further data processing activities of the customers as identified in par. 5 of this decision and in the terms provided therein;

d) considers that the conditions of art. 17 of Regulation no. 1/2019 concerning internal procedures with external relevance are met.

finalized for the performance of the tasks and the exercise of the powers assigned to the Guarantor.

ORDERS

a) pursuant to Article 58, paragraph 2, letter i) of the Regulation, to the same Axpo Italia S.p.A., to pay the sum of €10,000,000.00 (ten million/00) as an administrative pecuniary sanction for the violations indicated in this provision.

COMMANDS

b) therefore to Axpo Italia S.p.A. to pay the aforementioned sum of €10,000,000.00 (ten million/00), according to the methods indicated in the annex, within thirty days from the notification of this provision, under penalty of the adoption of the consequent executive acts pursuant to Article 27 of Law No. 689/1981. It is noted that pursuant to Article 166, paragraph 8 of the Code, the offender retains the right to settle the dispute by paying - always according to the methods indicated in the annex - an amount equal to half of the imposed sanction within the term provided for the submission of the appeal as indicated below in Article 10, paragraph 3, of Legislative Decree No. 150 of September 1, 2011.

PROVIDES

c) for the publication of this provision on the Guarantor's website pursuant to Article 166, paragraph 7, of the Code and Article 16, paragraph 1, of the Guarantor's Regulation No. 1/2019.

Pursuant to Article 78 of the Regulation, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150/2011, an appeal against this provision may be filed with the ordinary judicial authority, with a petition submitted to the ordinary court of the place identified in the same Article 10, within thirty days from the date of communication of this provision, or sixty days if the appellant resides abroad.

Rome, September 28, 2023

THE PRESIDENT

Stanzione

THE REPORTER

Scorza

THE SECRETARY GENERAL

Mattei